

The Face-off for Religare



Corporate battles are always fascinating to chronicle, and India has seen quite a few, big and small. So, it's not surprising that Indian corporate and business circles are busy discussing the latest boardroom battle that is currently playing out—the feud between the Burman family of Dabur and the board of the ₹6,300-crore financial services company Religare Enterprises, in particular its Executive Chairperson Rashmi Saluja. In a nutshell, the story is that the Burmans badly want Religare, but Saluja and her colleagues on the board are resisting the takeover attempt tooth and nail. Add the regulatory angle with the Securities and Exchange Board of India (Sebi) to the mix and you have the perfect corporate potboiler. The Burmans have been eyeing Religare since 2018 when they picked up a stake in the company. Since then, they have raised their stake bit by bit, even as the firm faced challenges. In September 2023, the Burmans' stake crossed the 25% threshold, beyond which they had to make a mandatory 26% open offer under Sebi regulations. But Saluja and the Religare management have resisted the open offer move and contend that the Burmans do not meet the 'fit and proper' criteria for owning the enterprise. On the other hand, serious charges of corporate governance lapses—especially on Saluja's high remuneration and stock options—have been levelled against her and the board, and markets regulator Sebi has had to step in.

In our cover story, *Krishna Gopalan* brings you the nuances of this bitter corporate face-off. The latest twist in this story is the Sebi order-cum-show-cause notice of June that ordered Religare to make the necessary applications to the various regulators—including the Reserve Bank of India and the Insurance Regulatory and Development Authority of India—for the open offer that Religare has attempted to stall for months. Religare then petitioned the Securities Appellate Tribunal (SAT) that, while ordering a stay on the show-cause notice, asked the company to file the open offer papers anyway.

For the Burmans, acquiring Religare makes eminent sense. The turbulence of the past (former promoters Malvinder and Shivinder Singh were mired in controversy and eventually arrested) is now behind it, and the company has demonstrated a turnaround. Besides, it ties in well with the Burmans' own financial services business and there are growth opportunities that Religare can tap, not least in the booming health insurance space. Saluja, meanwhile, is in no mood to let go and says she has the full backing of the Religare board. She believes the time now is for Religare to unlock value. Most experts believe this battle is far from over and will play out over the next few months as RBI also gets into the picture. Will the Burmans finally get Religare? Will Saluja be able to fend off the takeover? This will continue to be one interesting story to track. **BT**

Sourav Majumdar
sourav.majumdar@aatk.com
@TheSouravM

Business Today

<http://www.businesstoday.in>

Chairman & Editor-in-Chief: Aroon Purie
Vice Chairperson & Executive Editor-in-Chief: Kalli Purie
Group Chief Executive Officer: Dinesh Bhatia
Executive Director: Rahul Kanwal
Chief Operating Officer: Alok Nair
Editor: Sourav Majumdar
Group Creative Editor: Nilanjan Das
Group Photo Editor: Bhandeep Singh

Managing Editor, Business Today TV: Siddharth Zarabi
Managing Editor: Anand Adhikari
Executive Editor: Krishna Gopalan
Executive Editor, Businesstoday.in: Arvin Vincent

CORRESPONDENTS

Economy Editor: Surabhi
Senior Editor: Neetu Chandra Sharma
Editor (Money Today): Teena Jain Kaushal
Associate Editor (Money Today): Navneet Dubey
Senior Assistant Editors: Palak Agarwal, Richa Sharma
Assistant Editor: Arnab Dutta
Senior Correspondent: Sudeshna Mitra
Correspondent: Astha Oriel

RESEARCH

Assistant Editor: Rahul Oberoi
Principal Research Analyst: Prince Tyagi

COPY DESK

Senior Editor: Abhik Sen
Senior Assistant Editors: Shishir Kumar Behera, Vikram Gopal
Assistant Editor: Bitasta Basu

PHOTOGRAPHY

Principal Photographer: Rajwant Singh Rawat
Staff Photographer: Hardik Chhabra
Senior Photo Researcher: Vishal Ghavri

ART

Creative Editor: Anirban Ghosh
Deputy Art Director: Rahul Sharma
Associate Art Director: Raj Verma
Chief Designer: Prabal Biswas

EVENTS

Senior Manager: Sourabh Dutta

PRODUCTION

Chief of Production: Harish Aggarwal
Senior Production Coordinator: Narendra Singh
Production Coordinator: Ayeekam David Meitei

LIBRARY

Assistant Librarian: Satbir Singh
Executive Secretary: Somesh Varma

BUSINESS TEAM (MAGAZINE)

National Head-Business Today Magazine: Siddhartha Chatterjee
Assistant General Manager: Girish C

BUSINESS TEAM (BT TV)

National Head-BT TV: Masuma Parekh
Branch Head-North: Ankush Madan

AD OPS

Deputy General Manager: Avinash Karkera
Marketing: Vivek Malhotra, Group Chief Marketing Officer
Newsstand Sales: Deepak Bhatt, Senior General Manager
(National Sales): Vipin Bagga, General Manager (Operations); Rajeev Gandhi, General Manager (North); Yogesh Godhanlal Gautam, Regional Sales Manager (West)

Vol. 33, No. 16, for the fortnight July 22, 2024 to August 4, 2024. Released on July 22, 2024.

● Editorial Office: India Today Mediaplex, FC 8, Sector 16/A, Film City, Noida-201301; Tel: 0120-4807100; Fax: 0120-4807150 ● Advertising Office (Gurgaon): A1-A2, Enkay Centre, Ground Floor, V.N. Commercial Complex, Udyog Vihar, Phase 5, Gurgaon-122001; Tel: 0124-4948400; Fax: 0124-4030919; Mumbai: 1201, 12th Floor, Tower 2 A, One World Center (Jupiter Mills), S.B. Marg, Lower Parel (West), Mumbai-400013; Tel: 022-69193355; Fax: 022-66063226; Chennai: 5th Floor, Main Building No. 443, Guna Complex, Anna Salai, Teynampet, Chennai-600018; Tel: 044-28478525; Fax: 044-24361942; Bangalore: 202-204 Richmond Towers, 2nd Floor, 12, Richmond Road, Bangalore-560025; Tel: 080-22212448, 080-30374106; Fax: 080-22218335; Kolkata: 52, J.L. Road, 4th floor, Kolkata-700071; Tel: 033-22825398, 033-22827726, 033-22821922; Fax: 033-22827254; Hyderabad: 6-3-885/7/B, Raj Bhawan Road, Somajiguda, Hyderabad-500082; Tel: 040-23401657, 040-23400479; Ahmedabad: 2nd Floor, 2C, Surya Rath Building, Behind White House, Panchwati, Off: C.G. Road, Ahmedabad-380006; Tel: 079-6560393, 079-6560929; Fax: 079-6565293; Kochi: Karakatt Road, Kochi-682016; Tel: 0484-2377057, 0484-2377058; Fax: 0484-370962 ● Subscriptions: For assistance contact Customer Care India Today Group, C-9, Sector-10, Noida (UP) - 201301.

Email: wecare@intoday.com | Phone / Whatsapp: +91 8597 778 778 (Monday to Friday, 10 am-6 pm)

● Sales: General Manager Sales, Living Media India Ltd. C-9, Sector 10, Noida (U.P.) - 201301; Tel: 0120-4019500; Fax: 0120-4019664 ● 1998 Living Media India Ltd.

All rights reserved throughout the world. Reproduction in any manner is prohibited.

● Printed & published by Manoj Sharma on behalf of Living Media India Limited. Printed at Thomson Press India Limited, 18-35, Milestone, Delhi-Mathura Road, Faridabad-121007, (Haryana). Published at F-26, First Floor, Connaught Place, New Delhi-110001. Editor: Sourav Majumdar

● Business Today does not take responsibility for returning unsolicited publication material.

All disputes are subject to the exclusive jurisdiction of competent courts and forums in Delhi/New Delhi only.



For reprint rights and syndication enquiries, contact syndications@intoday.com or call +91-120-4078000

www.syndicationstoday.in